

----- Forwarded by Mary Cilia/NA/Enron on 10/04/2000 08:38 AM -----

"David Gohlke" <DGOHLKE@skadden.com>
10/03/2000 08:12 PM

To: Mary.Cilia@enron.com
cc: glauco.palhoto@enron.com
Subject: Re: Preliminary Engineering Release Agmt. - final issue

Mary,

I've attached the latest draft, which has not yet been sent to the other side, and which includes a provision not yet agreed by ESA or negotiated with EECC (Clause 1(c)). The schedule 1, which you care about, should reflect the changes you and I discussed with Jeff last week. Since this draft is not an agreed one, will you delete it after you review it, and if you are not ok with all the changes, let me know so I can include them when we finalize this tomorrow (Wed). I will include you on the final negotiated draft tomorrow when I (or Glauco) send it out for final approval.

Dave

>>> <Mary.Cilia@enron.com> 10/03/00 03:53PM >>>

Dave -

Do we have the latest draft with the changes I submitted for Appendix 1?
Can you please send it to me. Thanks.

Mary

"David
Gohlke" To: john.g.rigby@enron.com,
<DGOHLKE@skad john.guidry@enron.com,
den.com> john.r.ayres@enron.com,
mary.cilia@enron.com
cc: john.novak@enron.com, "Brian
09/29/2000 Bradshaw" <BBRADSHA@skadden.com>,
"Thomas
05:25 PM Weil" <TWEIL@skadden.com>
Subject: Preliminary Engineering
Release
Agmt. - final issue

ESA and EECC teams,

This email is in response to John Rigby's fax of 28 Sep with comments to the Preliminary Engineering Release Agreement.

I am OK with all of John and Scott's proposed changes except the rider to replace paragraph 1(c), which deals with who has the risk/gatekeeper role on deciding whether an activity is "hard cost" or not. While I would prefer to keep a "Contractor shall not perform any "hard cost" activity" -type prohibition in the contract, I understand that since financing is

really an Owner issue, and Owner wants off-balance sheet financing, making sure no "hard cost" activity is performed is really an Owner issue. Thus, I have taken their basic language/concept and modified it somewhat.

I have marked up EECC's proposed rider and attached the marked copy for your review. If acceptable to the owner team, I will forward it to EECC for their review/approval. Once we have agreement on this language, the Preliminary Eng Release Agmt should be done and ready for John Novak's review and approval and subsequent execution by ESA and EECC.

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